



Time: 5 minutes

Outcome: Read AD, SRAS, and LRAS together to diagnose short-run output gaps.

Difficulty: ●●○ Intermediate

AD-AS Equilibrium and Output Gaps

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THE CORE IDEA

Short-run macroeconomic equilibrium occurs where AD intersects SRAS, determining real GDP and the price level. LRAS marks potential output. If the short-run intersection lies left of LRAS, the economy has a recessionary gap; if it lies right, an inflationary gap. Long-run equilibrium requires AD, SRAS, and LRAS to meet at potential output.

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HOW TO RECOGNIZE IT

- First locate the active AD-SRAS intersection; then compare its output with LRAS.
- Left of LRAS: recessionary gap and output below potential.
- Right of LRAS: inflationary gap and output above potential.
- At LRAS: output equals potential, though the equilibrium price level can differ across scenarios.

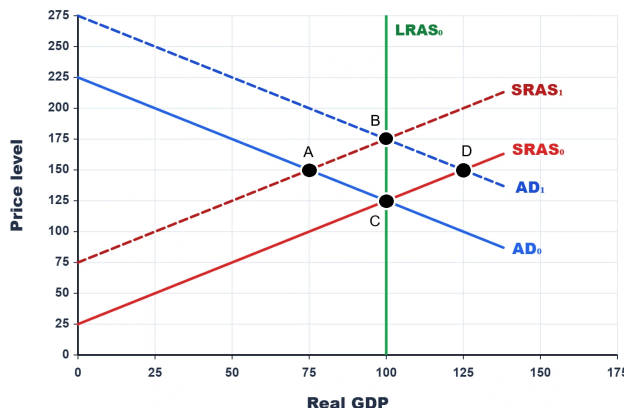
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WATCH OUT

Do not call the rightmost or highest labeled point long-run equilibrium. A point is long-run equilibrium only when its output lies on LRAS and both AD and SRAS pass through it.

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WORKED EXAMPLE: SHORT RUN VERSUS LONG RUN



Point C is initial long-run equilibrium at output 100 and price level 125. AD rises from AD₀ to AD₁, moving short-run equilibrium to D at output 125 and price level 150: an inflationary gap. Later SRAS shifts left to SRAS₁, moving equilibrium to B on LRAS at output 100 and price level 175.

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CHECK YOURSELF

An AD-SRAS intersection lies left of LRAS. What gap exists, and how does actual output compare with potential?



READY?

Return to the game and master this concept.